Cracks Widen

Day 22 brings Natanz strikes, Diego Garcia retaliation, and gold's worst week since 2011—but Trump floats 'winding down.'

MARKETS

GOLD'S WORST WEEK SINCE 2011. BRENT AT WAR-ERA CLOSING HIGH. Friday closed the most violent week for precious metals in fifteen years—gold –9.6% to $4,495, silver –14%. Brent settled at $112.19, its highest since the war began, even as intraday swings covered a $119-to-$108 range. S&P; held at 6,598 (–0.25%). Fear & Greed at 11 for a second consecutive day. TLT +0.62% shows some duration bid, but the bond market remains conflicted between rate relief and energy-driven inflation.

The IEA called this "the largest supply disruption in the history of the global oil market." Hormuz flows have collapsed from 20 mb/d to a trickle. The IEA's record 400-million-barrel emergency reserve release and the U.S. SPR tap of 172 million barrels have done little to contain prices. Dubai crude hit an all-time high above $150, Oman crude above $152—the $50+ gap between WTI ($96) and Dubai benchmarks is unprecedented.

Gold's collapse is the forced-liquidation pattern we identified Thursday, now confirmed at scale. Analysts at SP Angel attribute the selloff to momentum trades unwinding after the pre-war run to $5,600. AEM ended the week at $184.78 (–5.77% Friday), GFI at $40.75 (–4.72%). J.P. Morgan still forecasts $5,055/oz by Q4; Goldman sees $5,400/oz by December. UBS views this as normal volatility within a structural uptrend. Monday's gold open could gap sharply—gold is non-trading this weekend.

Brent's $112.19 close came despite Netanyahu's intraday claim that Israel is helping the U.S. reopen Hormuz—which briefly pulled futures from $119 to $108 before they settled higher. Goldman suggested elevated prices could persist through 2027. VLO +1.51%, CVX +1.42%, OKE +2.55%—energy infrastructure continues to outperform. LRCX maintained its post-GTC momentum. AMD cleared $205 on the Samsung AI partnership catalyst. The picks-and-shovels AI trade is absorbing the broader selloff.

IOWN Tactical: S&P at 6,598 (SPY $659.80). Gold down 9.6% in a week during an active war. Brent at a war-era high while the IEA's record reserve release fails to contain prices. Bitcoin testing $70K with $1.9B in options expiring Saturday. The forced-liquidation thesis is playing out at scale—when the mechanical selling exhausts, the commodity complex may snap back sharply. Our –20% buy trigger at ~5,600 remains 15% below. Avoid Erosion—patience is the discipline this weekend.

GEOPOLITICS

DAY 22: NATANZ STRUCK, DIEGO GARCIA RETALIATED, TRUMP FLOATS 'WINDING DOWN.' Saturday brought the most consequential escalation of the conflict. Iran confirmed Israeli airstrikes hit the Natanz nuclear facility—no radiation leakage reported. Hours later, Tehran fired missiles at the joint U.S.-U.K. Diego Garcia base in the Indian Ocean, a significant geographic expansion. An F-35 made an emergency landing after being struck. Israeli Defense Minister Katz said attacks will "increase significantly" next week.

Trump said the administration is considering "winding down" military efforts—while simultaneously deploying 2,200–2,500 additional Marines. A senior Iranian source told CNN that Tehran does not believe the claim. The contradiction between rhetoric and troop movements is stark. If this is genuine off-ramp signaling, oil could pull back sharply on any ceasefire development. If it is posturing, the military trajectory is clearly escalatory. For Monday, this ambiguity is the single most important variable for portfolio positioning.

The regional spread continues: Kuwait's Mina Al-Ahmadi refinery struck by Iranian drones. Iran warned of "crushing blows" against UAE territory. Bahrain has intercepted 143 missiles and 242 drones since February 28. Lebanon's death toll surpassed 1,000. The conflict now involves at least six countries' territory—complicating any ceasefire framework and extending the timeline for Hormuz normalization. NXPI faces direct second-order risk from air freight disruption and chip supply rerouting.

ON OUR RADAR

1. Trump's 'winding down' rhetoric is Monday's biggest variable. If markets read this as genuine, the trade is immediate: oil pulls back, gold rebounds on reduced liquidation pressure, equities rally risk-on. If dismissed as posturing, Brent could test $120+. The 2,500-Marine deployment contradicts the rhetoric. LMT and GD may see divergent moves depending on which signal prices. We do not trade ambiguity—*Simplicity Over Complexity.*

2. $1.9B in crypto options expire this weekend. BTC at $70,700 with max pain at $71,000. The $70K support level has been tested four times in ten days—technical analysts note the fifth test often breaks. If $70K breaks, Monday's ETF opens could gap lower. IBIT, ETHA, COIN, HUT, MARA exposure is sized for volatility, but a decisive break warrants near-term reassessment.

3. The IEA's record 400M-barrel reserve release is failing. Largest emergency release in IEA history, supplemented by 172M-barrel U.S. SPR tap. Brent still closed at a war-era high. Goldman suggests elevated prices could last through 2027. The reserve mechanism was designed for temporary disruptions—it cannot fix a sustained Hormuz blockade. VLO, CVX, and OKE remain positioned for prolonged energy premium. *Research Reveals Opportunities.*

4. Natanz strike crosses a nuclear threshold. Striking a declared nuclear facility is qualitatively different from conventional targets. This could accelerate international ceasefire pressure or trigger dispersed reconstitution. For IOWN, the implication is binary: ceasefire would be massively risk-on; continued escalation extends the timeline. GD and LMT hedge the escalation path. *Think Like an Owner.*

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